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The Honorable Mary Jo Heston
Chapter 11

IN THE UNITED STATES BANKRUPTCY COURT

FOR THE WESTERN DISTRICT OF WASHINGTON

AT TACOMA

In re:
HARBOR CUSTOM DEVELOPMENT, INC., *et al.*,
Case No. 23-42180-MJH
(Jointly Administered)

HARBOR CUSTOM DEVELOPMENT, INC.; BELFAIR APARTMENTS, LLC; and PACIFIC RIDGE CMS, LLC,
Plaintiffs,
v.
SOUND CAPITAL CONSTRUCTION FUND, LLC; SOUND EQUITY HIGH INCOME DEBT FUND, LLC; SOUND CAPITAL LOANS, LLC; ATHENE ANNUITY AND LIFE COMPANY; and DOES I THROUGH X,
Defendants.

Adversary No. 24-04037-MJH

COMPLAINT (I) TO DETERMINE EXTENT AND VALIDITY OF LIENS, (II) OBJECTION TO CLAIMS, (III) EQUITABLE SUBORDINATION OF CLAIMS, (IV) SURCHARGE OF PROPERTY SECURING ALLOWED CLAIMS, (V) RECOVERY OF PAYMENTS MADE POSTPETITION, AND (VI) DECLARATORY JUDGMENT

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The Honorable Mary Jo Heston
Chapter 11

IN THE UNITED STATES BANKRUPTCY COURT
WESTERN DISTRICT OF WASHINGTON AT TACOMA

In re:
HARBOR CUSTOM DEVELOPMENT, INC., et al.,
Debtors.[1]

Chapter 11
Case No. 23-42180
(Jointly Administered)

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[1] The Debtors and their case numbers are: Harbor Custom Development, Inc. (Lead Case); Belfair Apartments, LLC (23-42181); HCDI at Semiahmoo LLC (23-42183); Beacon Studio Farms LLC (23-42184); HCDI Bridge View, LLC (23-42187); HCDI FL Condo LLC (23-42188); Pacific Ridge CMS, LLC (23-42189), and Tanglewilde, LLC (24-40232).

Harbor Custom Development, Inc. ("HCDI"), Belfair Apartments, LLC ("Belfair Apartments"), and Pacific Ridge CMS, LLC ("Pacific Ridge," and collectively with HCDI and Belfair Apartments, "Plaintiffs"), seek a declaratory judgment, and the other relief set forth below, and hereby allege as follows:

JURISDICTION

1. HCDI, Belfair Apartments, and Pacific Ridge filed petitions for relief under Chapter 11 of the Bankruptcy Code on December 11, 2023 (the "Petition Date") in the Bankruptcy Court for the Western District of Washington, under Bankruptcy Case Nos. 23-42180-MJH, 23-42181-MJH, and 23-42189-MJH. The cases have been administratively consolidated (along with those of other subsidiaries of HCDI).

2. The Court has jurisdiction over this matter pursuant to 28 U.S.C. § 1334, 28 U.S.C. § 157(b)(2)(A), (B), (E), (K), (M), and (O) and Fed. R. Bankr. P. 7001(1), (2), and (9). This is a core proceeding.

PARTIES

3. HCDI is a Washington corporation.

4. Belfair Apartments is a Washington limited liability company.

5. Pacific Ridge is a Washington limited liability company.

6. Defendant Sound Capital Loans, LLC ("Sound Capital") is a Delaware limited liability company doing business in the State of Washington.

7. Defendant Sound Equity High Income Debt Fund, LLC ("Sound Equity") is a Delaware limited liability company doing business in the State of Washington.

8. Sound Capital Construction Fund, LLC ("Sound Construction") is a Delaware limited liability company doing business in the State of Washington. Sound Capital, Sound Equity, and Sound Construction are sometimes collectively referred to herein as the "Sound Entities."

9. Athene Annuity and Life Company ("Athene") is an Iowa corporation doing business in the State of Washington.

10. DOES I through X are individuals and entities, the identity of which are presently unknown who may have purchased one or more loans made by Sound Capital, Sound

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HARBOR CUSTOM DEVELOPMENT, INC.; BELFAIR APARTMENTS, LLC; and PACIFIC RIDGE CMS, LLC

Plaintiffs,

v.

SOUND CAPITAL CONSTRUCTION FUND, LLC; SOUND EQUITY HIGH INCOME DEBT FUND, LLC; SOUND CAPITAL LOANS, LLC; ATHENE ANNUITY AND LIFE COMPANY; and DOES I THROUGH X,

Defendants.

Adversary No. ____________

COMPLAINT (I) TO DETERMINE EXTENT AND VALIDITY OF LIENS, (II) OBJECTION TO CLAIMS, (III) EQUITABLE SUBORDINATION OF CLAIMS, (IV) SURCHARGE OF PROPERTY SECURING ALLOWED CLAIMS, (V) RECOVERY OF PAYMENTS MADE POSTPETITION, AND FOR (VI) DECLARATORY JUDGMENT

Harbor Custom Development, Inc. ("HCDI"), Belfair Apartments, LLC ("Belfair Apartments," Pacific Ridge CMS, LLC ("Pacific Ridge," and collectively together with HCDI and Belfair Apartments "Plaintiffs"), seek a declaratory judgment, and the other relief set forth below, and hereby allege as follows:

JURISDICTION

1. HCDI, Belfair Apartments, and Pacific Ridge filed petitions for relief under Chapter 11 of the Bankruptcy Code on December 11, 2023 (the "Petition Date") in the Bankruptcy Court for the Western District of Washington, under Bankruptcy Case Nos. 23-42180-MJH, 23-42181-MJH, and 23-42189-MJH. The cases have been administratively consolidated (along with those of other subsidiaries of HCDI).

2. The Court has jurisdiction over this matter pursuant to 28 U.S.C. § 1334, 28 U.S.C. § 157(b)(2)(A), (B), (E), (K), (M), and (O) and Fed. R. Bankr. P. 7001(1), (2), and (9). This is a core proceeding.

PARTIES

3. HCDI is a Washington corporation.

4. Belfair Apartments is a Washington limited liability company.

5. Pacific Ridge is a Washington limited liability company.

Equity or Sound Construction and may be the real parties in interest.

11. The Sound Entities have each filed a Proof of Claim in these administratively consolidated cases: claim numbers 165, 166, and 168.

12. Athene has not filed a Proof of Claim in these administratively consolidated cases.

FACTUAL ALLEGATIONS

Debtors

13. HCDI is a real estate development company located in Tacoma, Washington. HCDI has been involved in all aspects of the land development cycle including land acquisition, entitlements, development, construction of project infrastructure, single- and multi-family vertical construction, marketing, and sales of various residential projects in Western Washington's Puget Sound region.

14. HCDI acquires and develops land based on an understanding of population growth patterns, entitlement restrictions and land use evaluation, infrastructure development, and geo-economic forces. In addition to projects in Western Washington, HCDI expanded its portfolio with projects in California, Texas, and Florida.

15. As of the Petition Date, HCDI invested in and managed its own real estate assets and projects (the "HCDI Properties"), and invested in, advanced funds to, and managed assets and projects through wholly owned limited liability companies (each, an "LLC Property" and together with the HCDI Properties, the "Properties"). Belfair Apartments, LLC ("Belfair Apartments"); HCDI at Semiahmoo LLC ("Semiahmoo"); Beacon Studio Farms LLC ("Beacon Studio"); HCDI Bridge View, LLC ("Bridge View"); HCDI FL Condo LLC ("Punta Gorda"); Tanglewilde LLC ("Tanglewilde"); and Pacific Ridge CMS, LLC ("Pacific Ridge") are each Debtors in these Chapter 11 Cases, and all hold real property assets and projects managed by HCDI (the "Debtors").

16. After the Petition Date, the Debtors continued to manage their properties.

17. As of the Petition Date, HCDI directly owned several projects in California and Texas, including projects known as Darkhorse in California, and Cimarron Hills, Creeks Edge, Flintrock Falls, Siena Creek, Stonehouse, and Summit Rock, all in Texas. These projects included single-family homes (constructed and in development), developed lots, and land.

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15. As of the Petition Date, HCDI invested in and managed its own real estate assets and projects (the "HCDI Properties"), and invested in, advanced funds to, and managed assets and projects through wholly owned limited liability companies (each, an "LLC Property" and together with the HCDI Properties, the "Properties"). Belfair Apartments, LLC ("Belfair Apartments"); HCDI at Semiahmoo LLC ("Semiahmoo"); Beacon Studio Farms LLC ("Beacon Studio"); HCDI Bridge View, LLC ("Bridge View"); HCDI FL Condo LLC ("Punta Gorda"); Tanglewilde LLC ("Tanglewilde"); and Pacific Ridge CMS, LLC ("Pacific Ridge") are each Debtors in these Chapter 11 Cases, and all hold real property assets and projects managed by HCDI (the "Debtors").

16. After the Petition Date, the Debtors continued to manage their properties.

17. As of the Petition Date, HCDI directly owned several projects in California and Texas, including projects known as Darkhorse in California, and Cimarron Hills, Creeks Edge, Flintrock Falls, Siena Creek, Stonehouse, and Summit Rock, all in Texas. These projects included single-family homes (constructed and in development), developed lots, and land.

18. HCDI's wholly owned subsidiary, Belfair Apartments, owns an apartment complex and related assets in Belfair, Washington.

19. HCDI's wholly owned subsidiary, Pacific Ridge CMS, owns an apartment complex in Tacoma, Washington.

20. Pacific Ridge CMS has filed a motion to convert its Chapter 11 Case to Chapter 7, which is set for hearing on June 28, 2024.

Loans by Sound Equity

- Sound Equity – Belfair, Washington

21. On or about June 27, 2023, Belfair Apartments executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $19,950,000.00 (the "Belfair Note"). As security, Belfair Apartments executed and delivered to Sound Equity a Deed of Trust, Assignment of Rents, Security Agreement, and Fixture Filing (the "Belfair DOT"). The Belfair DOT covers a portion of the real property owned by Belfair Apartments referred to as

18. HCDI's wholly owned subsidiary, Belfair Apartments, owns an apartment complex and related assets in Belfair, Washington.

19. HCDI's wholly owned subsidiary, Pacific Ridge CMS, owns an apartment complex in Tacoma, Washington.

20. Pacific Ridge CMS has filed a motion to convert its Chapter 11 Case to Chapter 7, which is set for hearing on June 28, 2024.

Loans by Sound Equity

Sound Equity – Belfair, Washington

21. On or about June 27, 2023, Belfair Apartments executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $19,950,000.00 (the "Belfair Note"). As of the Petition Date, the Debtors believed approximately $20,123,998.67 remained outstanding on the Belfair Note.

22. Sound Equity recorded the Belfair DOT on June 30, 2023, under Mason County, Washington Auditor's File No. 2199011.

23. On information and belief, on June 27, 2023, Sound Equity executed and delivered to Sound Capital an Assignment of Deed of Trust, assigning a 100% undivided interest in the Belfair DOT to Sound Capital together with the Belfair Note. The assignment from Sound Equity to Sound Capital was recorded on June 30, 2023 under Mason County Auditor's File No. 2199021.

24. On information and belief, on June 27, 2023, on the same day that Sound Capital acquired the Belfair Note and Belfair DOT from Sound Equity, Sound Capital executed and delivered to Athene an Assignment of Deed of Trust, assigning a 100% undivided interest in the Belfair DOT and the Belfair Note to Athene. The assignment was recorded on June 30, 2023, under Mason County Auditor's File No. 2199038. The Sound Entities did not disclose to Plaintiffs or this Court the transfer of the Belfair Note and Belfair DOT to Athene until June 4, 2024, six (6) months after the filing of the Bankruptcy Cases.

"Belfair Phase I."

22. Sound Equity recorded the Belfair DOT on June 30, 2023, under Mason County, Washington Auditor's File No. 2199011.

23. On information and belief, on June 27, 2023, Sound Equity executed and delivered to Sound Capital an Assignment of Deed of Trust, assigning a 100% undivided interest in the Belfair DOT to Sound Capital together with the Belfair Note. The assignment from Sound Equity to Sound Capital was recorded on June 30, 2023 under Mason County Auditor's File No. 2199021.

24. On information and belief, on June 27, 2023, on the same day that Sound Capital acquired the Belfair Note and Belfair DOT from Sound Equity, Sound Capital executed and delivered to Athene an Assignment of Deed of Trust, assigning a 100% undivided interest in the Belfair DOT and the Belfair Note to Athene. The assignment was recorded on June 30, 2023, under Mason County Auditor's File No. 2199038. The Sound Entities did not disclose to Plaintiffs or this Court the transfer of the Belfair Note and Belfair DOT to Athene until June 4, 2024, six (6) months after the filing of the Bankruptcy Cases.

25. As of the Petition Date, Debtors believed approximately $20,123,998.67 remained outstanding on the Belfair Note.

- Sound Equity Loans to HCDI in Texas
  - Sound Equity Loan 0325

26. On or about June 23, 2022, HCDI executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $1,344,000.00 ("Sound Equity Note 0325"). As security, HCDI executed and delivered to Sound Equity a Deed of Trust and Security Agreement, securing Sound Equity Loan 0325 with what is known as Lot 14 Mitchell Creek Drive, Horseshoe Bay, Texas ("Sound Equity DOT 0325"). Sound Equity DOT 0325 was recorded under Llano County, Texas Auditor's File No. 22 05603.

27. On information and belief, on or about October 1, 2023, Sound Equity extended the maturity date on Sound Equity Loan 0325 to April 1, 2024.

Sound Equity Loans to HCDI in Texas

25. On or about June 23, 2022, HCDI executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $1,344,000.00 (“Sound Equity Note 0325”). As security, HCDI executed and delivered to Sound Equity a Deed of Trust and Security Agreement, securing Sound Equity Loan 0325 with what is known as Lot 14 Mitchell Creek Drive, Horseshoe Bay, Texas (“Sound Equity DOT 0325”). Sound Equity DOT 0325 was recorded under Llano County, Texas Auditor’s File No. 22 05603.

26. On information and belief, on or about October 1, 2023, Sound Equity extended the maturity date on Sound Equity Loan 0325 to April 1, 2024.

27. On information and belief, Sound Equity assigned Sound Equity Note 0325 and Sound Equity DOT 0325 to Athene on or about February 14, 2024. Sound Equity did not disclose to Plaintiffs or this Court the transfer of the assigned Sound Equity Note 0325 and Sound Equity DOT 0325 to Athene.

28. On or about July 14, 2022, HCDI executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $1,110,000.00 (“Sound Equity Note 0346”). As security, HCDI executed and delivered to Sound Equity a Deed of Trust and Security Agreement securing Sound Equity Note 0346 with what is known as Lot 41, Mitchell Creek Drive, Horseshoe Bay, Texas (“Sound Equity DOT 0346”). Sound Equity recorded the Sound Equity DOT 0346 under Llano County Auditor’s File No. 22 06279.

29. On information and belief, on or about August 1, 2023, HCDI executed a Loan Modification Agreement extending the maturity date to November 1, 2023.

30. As of the Petition Date, approximately $1,118,306.77 remained outstanding on Sound Equity Note 0346.

CLAIMS FOR RELIEF

COUNT I: OBJECTIONS TO CLAIMS

(11 U.S.C. §§ 502, 506)

31. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above as though set forth herein.

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28. On information and belief, Sound Equity assigned Sound Equity Note 0325 and Sound Equity DOT 0325 to Athene on or about February 14, 2024. Sound Equity did not disclose to Plaintiffs or this Court the transfer of the assigned Sound Equity Note 0325 and Sound Equity DOT 0325 to Athene.

- Sound Equity Loan 0346

29. On or about July 14, 2022, HCDI executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $1,110,000.00 (“Sound Equity Note 0346”). As security, HCDI executed and delivered to Sound Equity a Deed of Trust and Security Agreement securing Sound Equity Note 0346 with what is known as Lot 41, Mitchell Creek Drive, Horseshoe Bay, Texas (“Sound Equity DOT 0346). Sound Equity recorded the Sound Equity DOT 0346 under Llano County Auditor’s File No. 22 06279.

30. On information and belief, or about August 1, 2023, HCDI executed a Loan Modification Agreement extending the maturity date to November 1, 2023.

31. As of the Petition Date, approximately $1,118,306.77 remained outstanding on Sound Equity Note 0346.

32. On information and belief, Sound Equity assigned Sound Equity Note 0346 and Sound Equity DOT 0346 to Athene on or about February 14, 2024. Sound Equity did not disclose to Plaintiffs or this Court the transfer of the assigned Sound Equity Note 0346 and Sound Equity DOT 0346 to Athene.

- Sound Equity Loan 0812

33. On or about July 5, 2022, HCDI executed and delivered to Sound Equity a Promissory Note Secured by Deed of Trust with a principal amount of $882,000.00 (“Sound Equity Note 0812”). As security, HCDI executed and delivered to Sound Equity a Deed of Trust and Security Agreement, securing Sound Equity Note 0812 with what is known as 404 Paintbrush Lot 62, Horseshoe Bay, Texas (“Sound Equity DOT 0812”). On information and belief, Sound Equity DOT 0812 was recorded under Llano County Auditor’s File No. 22 05843.

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32. Plaintiffs hereby object, pursuant to sections 105, 502, 506, 544, 549, 550, and 551 of the Bankruptcy Code, to the allowance of Claim Nos. 165, 166, and 168.

33. Pursuant to the applicable provisions of the Bankruptcy Code, including without limitation section 502(d), and Bankruptcy Rules 3007, 3012, and 7001, each of the claims should be disallowed until such time as the Plaintiffs' claims herein have been finally resolved.

COUNT II: RECOVERY OF PAYMENTS TO THE SOUND ENTITIES ON THE ATHENE PROPERTIES

(11 U.S.C. §§ 105, 542, 544, 549, 550, 551)

34. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

35. The Sound Entities transferred the Athene Properties to Athene.

36. The Sound Entities did not disclose that they transferred the Athene Properties to Athene to Plaintiffs or the Court.

37. After the Sound Entities transferred the Athene Properties to Athene, the Debtors paid the Sound Entities adequate protection payments pursuant to the Cash Collateral Stipulation and loan satisfaction payments on the sale of certain of the Athene Properties in Texas when the Sound Entities no longer owned the debt on the Athene Properties.

38. Plaintiffs are entitled to recover the payments to the Sound Entities in connection with the Athene Properties pursuant to 11 U.S.C. §§ 105, 542, 544, 549, 550 and 551.

COUNT III: SURCHARGE

(11 U.S.C. § 506(c))

39. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

40. During the bankruptcy case, the Debtors incurred the Surcharge Expenses.

41. The Debtors are entitled to recover the Surcharge Expenses from the property securing the allowed secured claims of the Sound Entities and Athene in an amount to be determined pursuant to 11 U.S.C. § 506(c).

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of the Bankruptcy Code, to the allowance of Claim Nos. 165, 166, and 168.

3. Pursuant to the applicable provisions of the Bankruptcy Code, including without limitation section 502(d), and Bankruptcy Rules 3007, 3012, and 7001, each of the claims should be disallowed until such time as the Plaintiffs' claims herein have been finally resolved.

COUNT II: RECOVERY OF PAYMENTS TO THE SOUND ENTITIES ON THE ATHENE PROPERTIES

(11 U.S.C. §§ 105, 542, 544, 549, 550, 551)

1. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

2. The Sound Entities transferred the Athene Properties to Athene.

3. The Sound Entities did not disclose that they transferred the Athene Properties to Athene to Plaintiffs or the Court.

4. After the Sound Entities transferred the Athene Properties to Athene, the Debtors paid the Sound Entities adequate protection payments pursuant to the Cash Collateral Stipulation and loan satisfaction payments on the sale of certain of the Athene Properties in Texas when the Sound Entities no longer owned the debt on the Athene Properties.

5. Plaintiffs are entitled to recover the payments to the Sound Entities in connection with the Athene Properties pursuant to 11 U.S.C. §§ 105, 542, 544, 549, 550 and 551.

COUNT III: SURCHARGE

(11 U.S.C. § 506(c))

1. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

2. During the bankruptcy case, the Debtors incurred the Surcharge Expenses.

3. The Debtors are entitled to recover the Surcharge Expenses from the property securing the allowed secured claims of the Sound Entities and Athene in an amount to be

COUNT IV: EQUITABLE SUBORDINATION

(11 U.S.C. § 510(c))

42. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

43. Defendants have made misrepresentations to the Court regarding the identity of the holders of the secured claims in the Athene Properties, which has caused harm to the Debtors' estates.

44. To the extent the Sound Entities' Proofs of Claim and/or any proofs of claim filed in the Debtors' bankruptcy cases by Athene are allowed, such proofs of claim should be equitably subordinated pursuant to 11 U.S.C. § 506(c)(1) and (2).

COUNT V: DECLARATORY JUDGMENT AGAINST THE SOUND ENTITIES

45. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

46. Plaintiffs dispute the nature, extent, and priority of the Sound Entities' claimed security interests in certain collateral, including without limitation, collateral owned by debtors HCDI, Pacific Ridge, and Belfair Apartments, giving rise to an actual controversy.

47. Plaintiffs are entitled to a judgment declaring the nature, extent, and priority of the Sound Entities' alleged interests in real property of HCDI and that of its wholly owned subsidiaries, including Pacific Ridge and Belfair Apartments.

48. Plaintiffs are entitled to a judgment declaring that the Belfair Note and Belfair DOT is not cross-collateralized with the Pacific Ridge Note and Pacific Ridge DOT, and the HCDI Texas Notes and Texas DOTS.

49. Plaintiffs are entitled to a judgment declaring that the HCDI Texas Notes and Texas DOTS are not cross-collateralized with the Pacific Ridge Note and Pacific Ridge DOT, the Belfair Note and Belfair DOT, and the Texas Notes and Texas DOTS across different lenders.

PRAYER FOR RELIEF

50. Plaintiffs respectfully request the Court to enter judgment in their favor and against the Sound Entities as follows:

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determined pursuant to 11 U.S.C. § 506(c).

COUNT IV: EQUITABLE SUBORDINATION

(11 U.S.C. § 510(c))

1. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

2. Defendants have made misrepresentations to the Court regarding the identity of the holders of the secured claims on the Athene Properties, which has caused harm to the Debtors' estates.

3. To the extent the Sound Entities Proofs of Claim and/or any proofs of claim filed in the Debtors' bankruptcy cases by Athene are allowed, such proofs of claim should be equitably subordinated pursuant to 11 U.S.C. § 506(c)(1) and (2).

COUNT V: DECLARATORY JUDGMENT AGAINST THE SOUND ENTITIES

1. Plaintiffs restate and reallege the allegations contained in the previous paragraphs above, as though set forth herein.

2. Plaintiffs dispute the nature, extent, and priority of the Sound Entities' claimed security interests in certain collateral, including without limitation, collateral owned by debtors HCDI, Pacific Ridge, and Belfair Apartments, giving rise to an actual controversy.

3. Plaintiffs are entitled to a judgment declaring the nature, extent, and priority of the Sound Entities' alleged interests in real property of HCDI and that of its wholly owned subsidiaries, including Pacific Ridge and Belfair Apartments.

4. Plaintiffs are entitled to a judgment declaring that the Belfair Note and Belfair DOT is not cross-collateralized with the Pacific Ridge Note and Pacific Ridge DOT, and the HCDI Texas Notes and Texas DOTS.

5. Plaintiffs are entitled to a judgment declaring that the HCDI Texas Notes and Texas DOTS are not cross-collateralized with the Pacific Ridge Note and Pacific Ridge DOT, the Belfair

A. The Court should enter judgment in favor of Plaintiffs determining that none of Sound Equity, Sound Construction, and Sound Capital loans are cross-collateralized.

B. The Court should disallow the Sound Construction proof of claim.

C. The Court should disallow the Sound Equity proof of claim.

D. The Court should disallow the Sound Capital proof of claim.

E. The Court should equitably subordinate any allowed claim of one or more of the Sound Entities.

F. The Court should enter judgment authorizing Plaintiffs to recover the Surcharge Expenses in an amount to be determined.

G. The Court should enter judgment authorizing Plaintiffs to recover the payments to the Sound Entities in connection with the Athene Properties pursuant to 11 U.S.C. §§ 105, 544, 549, 550, and 551.

H. The Court should enter judgment in favor of Plaintiffs determining the scope of the Sound Entities' interest in property of HCDI and its subsidiaries.

I. The Court should award the Debtors their attorneys' fees and other costs pursuant to the Loan Documents and applicable law, including all fees and costs incurred in connection with this adversary proceeding.

J. The Court should award such other and further relief as the Court deems just and proper.

Note and Belfair DOT, and the Texas Notes and Texas DOTS across different lenders.

PRAYER FOR RELIEF

Plaintiffs respectfully request the Court to enter judgment in their favor and against the Sound Entities as follows:

A. The Court should enter judgment in favor of Plaintiffs determining that none of Sound Equity, Sound Construction, and Sound Capital loans are cross-collateralized.

B. The Court should disallow the Sound Construction proof of claim.

C. The Court should disallow the Sound Equity proof of claim.

D. The Court should disallow the Sound Capital proof of claim.

E. The Court should equitably subordinate any allowed claim of one or more of the Sound Entities.

F. The Court should enter judgment authorizing Plaintiffs to recover the Surcharge Expenses in an amount to be determined.

G. The Court should enter judgment authorizing Plaintiffs to recover the payments to the Sound Entities in connection with the Athene Properties pursuant to 11 U.S.C. §§ 105, 544, 549, 550, and 551.

H. The Court should enter judgment in favor of Plaintiffs determining the scope of the Sound Entities' interest in property of HCDI and its subsidiaries.

I. The Court should award the Debtors their attorneys' fees and other costs pursuant to the Loan Documents and applicable law, including all fees and costs incurred in connection with this adversary proceeding.

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Dated: June 17, 2024

LEVENE, NEALE, BENDER, YOO &
GOLUBCHIK L.L.P.

/s/ Eve H. Karasik
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Conflicts Counsel for Harbor Custom Development, Inc., Belfair Apartments, LLC, and Pacific Ridge CMS, LLC, Chapter 11 Debtors and Debtors in Possession

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J. The Court should award such other and further relief as the Court deems just and proper.

Dated: June 17, 2024

LEVENE, NEALE, BENDER, YOO &
GOLUBCHIK L.L.P.

By: */s/ Eve H. Karasik*
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